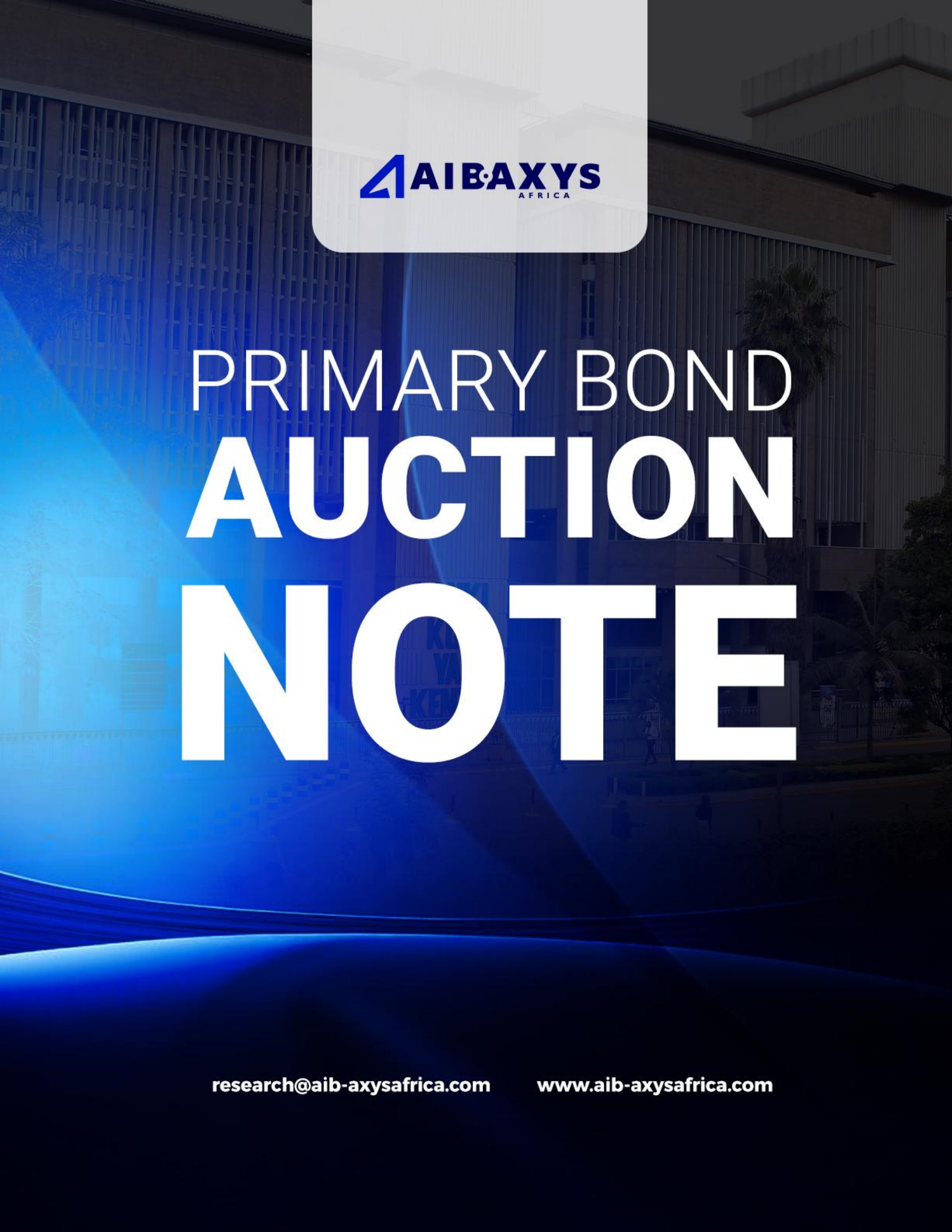

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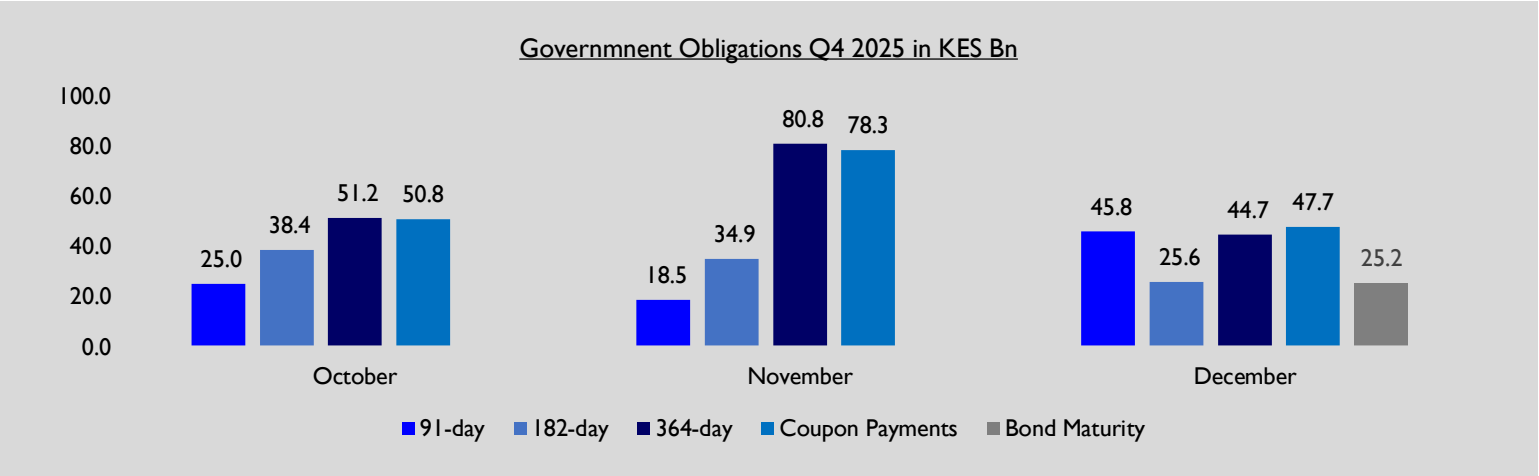
AIB-AXYS November 2025 Primary Bond Auction Note

Summary

- **The Exchequer is seeking to raise KES 40.00Bn through the re-opening of the FXD3/2019/015 & FXD1/2022/025** treasury bonds earmarked for budgetary support in FY25/26.
- Despite no bond maturities in November, government debt obligations are comparatively higher compared to October. Notably, coupon payments are relatively higher at KES 78.3 Bn compared to KES 50.8 Bn in October, chiefly due to the FXD4/2019/010 and FXD1/2028/015 issues with a cumulative outstanding amount of KES 221.64 Bn, which explains the reason for the higher coupons. Looking at the exchequer, total revenue is trailing the prorated target with a performance rate of 83.9% for the first four months of the year. Additionally, for the first four months of FY25/26 the government is already ahead of its prorated borrowing target; notably domestic debt is at 140.4%, which is understandable because of the total revenue underperformance where the government has been forced to turn to the debt market to cater for the shortfall. Noting that the government is looking at managing debt cost with heavy reliance on the domestic market, we foresee the government continuing with its trend of discouraging aggressive bids in this and upcoming auctions.
- **Our recommended competitive bidding yield on the paper is indicated in Table 1 on the right.**

Table 1: Key Auction Highlights

FXD3/2019/015 & FXD1/2022/025	
Issuer:	Republic of Kenya
Total Amount:	KES 40.0 billion
Purpose:	Budgetary Support
Tenor:	**FXD3/2019/015**-(8.7 Years)– Re-opened **FXD1/2022/025**-(21.9 Years)– Re-opened
Coupon Rate:	**FXD3/2019/015**– 12.3400% **FXD1/2022/025**– 14.1880%
Price Quote:	Discounted/Premium/Par
Period of sale:	11th-Nov-2025 to19th-Nov-2025
Minimum Amount:	KES 50,000.00
Taxation:	10.00%
Maturity Dates:	**FXD3/2019/015** – 10th-July-2034 **FXD1/2022/015** – 23rd-September-2047
Non-competitive bids per CSD A/C:	Maximum KES 50 million per CDS A/c
Competitive bid per CSD A/C:	Minimum KES 2 million per CDS A/c
AIB-AXYS Competitive Bidding Range Recommendation:	**FXD3/2019/015** – 12.84%-13.04% **FXD1/2022/025** – 13.84%-14.04%



Term Structure of Interest Rates

The yield curve has continued to adjust, now showing a steeper upward slope compared to last year when it was inverted. The short end has posted stronger year to date spread movements than the longer end. We expect this pattern to hold in the near term, supported by a more accommodative monetary policy stance, as investors continue to seek a premium on longer dated papers. We also expect another rate cut in the December Monetary Policy Committee meeting, supported by recent projections showing inflation is likely to remain stable, which strengthens the case for additional easing. At the same time, the government is falling short on tax collection, with exchequer receipts at KES 770.33 Bn for the first four months of FY 2025/26, translating to a performance rate of 83.9% against a prorated target of KES 918.23 Bn. This shortfall implies that the apex bank will lean more on the debt market, especially the domestic segment, to address the revenue gap. In line with the borrowing strategy, the government aims to contain debt servicing costs, which explains the continued rejection of aggressive bids in recent primary bond auctions

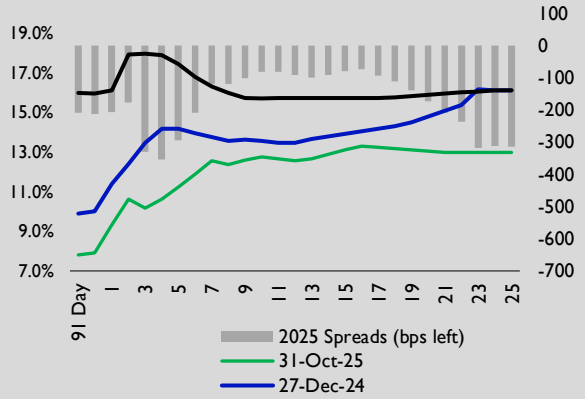
Market Liquidity

Kenya Shilling Overnight Interbank Average (KESONIA) eased to an average of 9.33% from 9.46%, mainly attributed to eight consecutive rate cuts that saw the Central Bank Rate drop to 9.25%. With a narrower interest rate corridor of 75 bps, we expect KESONIA to track the CBR closely. In addition, in October lending activities eased by 13.0% on a monthly basis to KES 231.11 Bn from KES 265.58 Bn

Price Levels

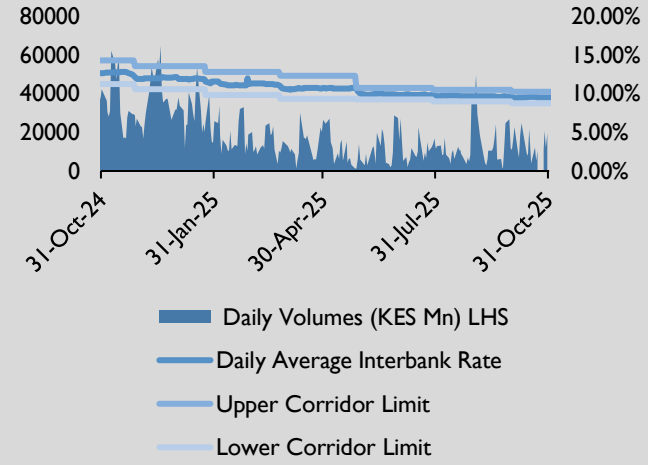
October's CPI remained relatively unchanged from September's at 4.6%, in line with our in-house projections, after three consecutive months of increases. According to the Kenya National Bureau of Statistics (KNBS), inflation was driven mainly by higher costs in Food and Non-Alcoholic Beverages (8.0%), Transport (4.8%), and Housing, Water, Electricity, Gas & Other Fuels (1.9%). On a month-on-month basis, the Consumer Price Index (CPI) rose slightly by 0.2%, from 146.56 in September to 146.84 in October, with core inflation contributing 2.8 percentage points and non-core items adding 1.8 points to the overall reading. In the near term, inflation is expected to remain anchored within the CBK's target range of 2.5%–7.5%, supported by a stable shilling and steady energy prices. Easing monetary policy may gradually stimulate money supply, which could, in turn, nudge the CPI higher. Investors should pay close attention to CPI readings when assessing real returns rather than nominal returns.

Chart 2: Domestic Yield Curve Evolution



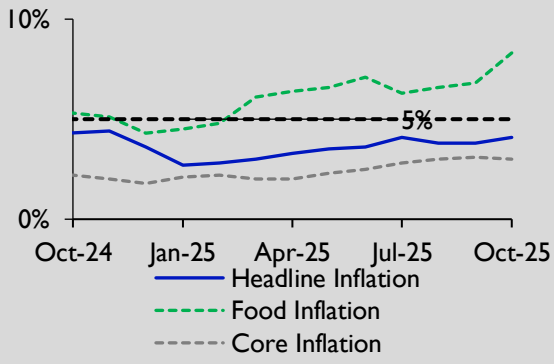
Source: CBK, AIB-AXYS Africa Research

Chart 3: Interbank Rate and Volumes



Source: CBK, AIB-AXYS Africa Research

Chart 4: Price Levels



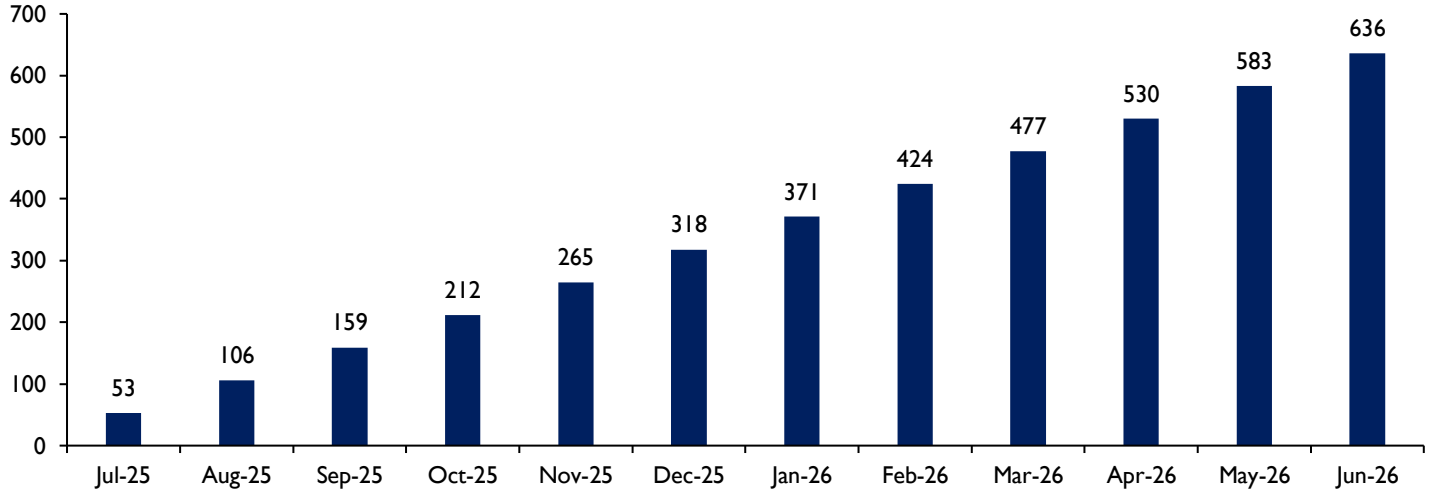
Kenya National Bureau of Statistics, AIB-AXYS Africa Research

Table 2: Comparable Bond Duration Yields

Issue No.	Maturity Date	Remaining Tenor in Years	Outstanding Amount KES Mn.	Fixed Coupon Rate	Implied Yield to Maturity
Comparable Yields for the FXD3/2019/015 - (8.6 Years)					
FXD2/2019/015	24-April-2034	8.5	81,644.75	12.7340%	12.1005%
FXD3/2019/015	**10-July-2034**	**8.6**	**53,919.80**	**12.3400%**	**12.2869%**
FXD1/2020/015	5-February-2035	9.2	151,911.06	12.7560%	12.8100%
Comparable Yields for the FXD1/2022/025 - (21.9 Years)					
FXD1/2021/025	9- April-2046	20.5	90,490.00	13.9240%	12.8159%
FXD1/2022/025	**23-Sep-2036**	21.9	141,075.93	**14.1880%**	**12.7964%**

Source: CBK, AIB-AXYS Africa Research

FY25/26 Domestic Borrowing Target (KES Bn)



Source: CBK, AIB-AXYS Africa Research

CBK Previous Primary Bond Auctions

	Offered Amount (KES, Mn)	Paper(s)	Duration at Issuance (yrs)	Performance Rate	Coupon Rate (%)	Market Average Yield (%)	Accepted Average Yield (%)	Deviation from Yield Curve
Dec-24	25,000	FXD1/2023/010 Re-opened	8.2		14.151%	14.864%	14.691%	84
		FXD1/2018/020 Re-opened	13.3	**285.3%**	13.200%	15.271%	15.112%	85
	20,000	FXD1/2024/010 Re-opened	9.3	**268.1%**	16.000%	14.782%	14.685%	4
Jan-25	30,000	FXD1/2018/015 Re-opened	8.3		12.650%	14.329%	14.210%	75
		FXD1/2022/025 Re-opened	22.8	**196.7%**	14.188%	15.743%	15.683%	8
Feb-25	70,000	IFB1/2022/014 Re-opened	11.8		13.938%	14.086%	13.978%	27
		IFB1/2023/017 Re-opened	15.1	**277.0%**	14.399%	14.416%	14.281%	118.5
Mar-25	25,000	FXD1/2018/025 Re-opened	18.3	**188.1%**	13.400%	13.938%	13.803%	51
Apr-25	70,000	FXD1/2020/015 Re-opened	9.9		12.756%	13.671%	13.665%	82.39
		FXD1/2022/015 Re-opened	12.1		13.942%	13.837%	13.828%	124.3
		FXD1/2022/025 Re-opened	22.6	**102.5%**	14.188%	14.237%	14.234%	65.33
	10,000	FXD1/2020/015 Tap-sale	9.9	**132.4%**	12.756%			
May-25	50,000	FXD1/2022/015 Re-opened	12.0		13.942%	13.942%	13.913%	145.42
		FXD1/2022/025 Re-opened	22.5	**114.2%**	14.188%	14.636%	14.538%	130.24
	30,000	FXD1/2012/020 Re-opened	7.6	**181.3%**	12.000%	13.733%	13.649%	137.9
Jun-25	50,000	FXD1/2020/015 Re-opened	9.7		12.756%	13.606%	13.487%	70.9
		SDB1/2011/030 Re-opened	15.7	**202.7%**	12.000%	14.181%	13.998%	152.55
Jul-25	50,000	FXD1/2018/020 Re-opened	12.8		13.200%	13.945%	13.899%	140.19
		FXD1/2018/025 Re-opened	18.0	**153.8%**	13.400%	14.435%	14.348%	137.85
Aug-25	90,000	IFB1/2028/015 Re-opened	7.5		12.500%	13.530%	12.993%	44.52
		IFBI/2022/019 Re-opened	15.6	**359.4%**	12.965%	14.237%	13.999%	41.5
		IFB1/2028/015 Tapsale	7.5		12.000%	13.530%		
		IFBI/2022/019 Tapsale	15.6	**414.9%**	12.965%	14.237%		
Sep-25	40,000	FXD1/2018/020 Re-opened	12.5		13.200%	13.724%	13.080%	64.4
		FXD1/2022/025 Re-opened	22.2	**243.2%**	14.188%	14.246%	12.782%	146.4
Oct-25	50,000	FXD1/2018/015 Re-opened	7.7		12.750%	12.652%	12.385%	26.7
		FXD1/2021/020 Re-opened	15.9	**237.8%**	13.444%	13.529%	13.310%	21.8
Nov-25	40,000	FXD1/2012/020 Re-opened	7.0		12.000%	12.638%	12.471%	16.8
		FXD1/2022/015 Re-opened	11.4	**232.3%**	13.994%	13.467%	13.339%	-53
Average*	**46,154**		**13.5**	**217.3%**	**13.567%**	**14.064%**	**13.860%**	**74.950**

*Source: CBK, AIB-AXYS Research, *- Yearly average results excludes tap sales*



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